

HB 2874 -- AIR AMBULANCE MEMBERSHIPS

SPONSOR: Phelps

COMMITTEE ACTION: Voted "Do Pass" by the Standing Committee on Insurance by a vote of 9 to 0 with 1 member voting present. Voted "Do Pass" by the Standing Committee on Rules-Administrative by a vote of 9 to 0.

This bill defines an air ambulance membership agreement as a plan that pays for or indemnifies the cost of air ambulance services, and excludes health insurance plans or policies. The bill requires air ambulance membership organizations to disclose that their agreements are not insurance coverage and medicaid enrollees and Medicaid beneficiaries are not eligible for membership.

This bill prohibits air ambulance membership organizations from selling or providing their agreements to individuals who are enrolled in MO HealthNet, and requires them to provide a prorated refund to individuals who enroll in MO HealthNet during the duration of their agreements, if they notify the organization within 30 days. The bill allows a transfer of membership to another individual in the enrollee's household.

This bill allows enrollees to file a complaint with the Attorney General if they believe that an air ambulance membership organization has violated the provisions of the bill.

This bill is similar to HCS HB 991 (2025) and HB 1829 (2024).

PROPONENTS: Supporters say that we need to make sure people are not misled and buy coverage for something they already have coverage for. This bill requires the air ambulance companies to provide clear disclosures that say the contracts they offer are not insurance and can be canceled. This is a transparency bill with no fiscal impact to the State.

Testifying in person for the bill were Representative Phelps; Doug Flanders, Air Methods; and Arnie Dienoff.

OPPONENTS: There was no opposition voiced to the committee.

Written testimony has been submitted for this bill. The full written testimony and witnesses testifying online can be found under Testimony on the bill page on the House website.